

# Spruce Court | Acquisition analysis instructions

Prepare an investment/sales OM, not merely a debt-request letter. Use provided facts; photos, market sales/rent comps, sponsor history and asking price are not supplied. Label their absence rather than inventing them.

Underwriting uses all-suite scheduled monthly rent on the current certified roll  $\times 12$  (before Suite 001 amendment), a 5% economic loss, and annual other income of \$350 per unit/suite. The amendment changes in-place rent only; this prescribed stabilized gross potential is a separate assumption. Reimbursement income is already included; do not add it twice.

Use tax \$171,612; insurance expense \$57,204; other recurring expenses \$228,816; management 3% of underwritten EGI; replacement reserve \$300 per unit/suite. Capitalize NOI before reserves at 5.7500%. Size DSCR and debt yield on NCF after reserves.

Loan constraints: maximum LTV 65.00%; minimum DSCR 1.25; minimum NCF debt yield 9%; amortization 30 years, monthly payments. Note rate 6.6000%; underwriting rate floor 6.00%. Size on the greater rate, even when the first 24 months are interest-only. Origination fee 1% of sized loan; closing costs \$45,000; existing payoff \$8,300,000. Negative net cash-out is additional equity required.

Assess each listed risk independently; a known resolvable source conflict should be explained, not left unresolved. Near-term rollover means an active suite expiry in the next 12 months. No lease expiration beyond that horizon is a near-term issue.